

Traders See Bank of Canada Hiking to 4.25% on Hot US Inflation



Tiff Macklem Photographer: Justin Tang/Bloomberg

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Hotter-than-expected US inflation prompted traders to raise their expectations for how high the Bank of Canada will have to increase borrowing costs.

Pricing in overnight swap markets indicates Canada's policy interest rate may reach 4.25% by the middle of next year, which would be the highest

level since 2008. Since March, Governor Tiff Macklem and his officials have raised the benchmark three percentage points to 3.25%.

It's the first time traders have priced in that many hikes. A month ago, borrowing costs were expected to peak below 4%.



Traders now expect the Bank of Canada to hike rates to 4.25%. Source: Bloomberg

Odds shifted Thursday after US consumer price data showed core inflation hit a 40-year high of 6.6%. The reading likely guarantees the Federal Reserve will make a fifth straight 75-basis-point rate increase in November, with a possible hike of equal size in December.

The upside surprise led traders to price in a steeper hiking cycle in both countries, on the risk that stickier inflation will require a sharper tightening of financial conditions to bring price pressures to heel.

September inflation figures for Canada, due Wednesday, will be a major determinant of bets going into the central bank's next decision on Oct. 26, with a hike of least 50 basis points expected. Annual price gains slowed to 7% in August and will likely ease further, though the relative persistence of core inflation measures holds more weight for Macklem's response.



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